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G10 FX Strategy | Global

Our Latest Views

Morgan Stanley's top G10 FX strategy views including key fundamental catalysts and technical levels to watch.

Key Takeaways

- We see USD strength given a more durable repricing in Fed policy expectations, though this is tempered by the pro carry regime that we expect.
- As a result, we focus our USD bullishness against low-yielding crosses, with political risks making EUR an attractive funder.
- Likewise, we remain positive on high yielders, particularly AUD, while NOK offers a good hedge against further upside in energy prices.
- We remain bearish JPY.

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USD View: Neutral | Skew: Bullish

We now forecast a stronger USD particularly versus EUR, CHF, and particularly JPY, though the Carry Regime suggests continued weakness versus risk currencies. Risk/reward doesn't favor USD longs yet, but we are watching for opportunities.

EUR View: Neutral | Skew: Bearish

We see further weakness for EUR ahead, with EUR/USD forecasted to fall to 1.10. EUR should remain an attractive funding currency particularly as political risk premium in the currency increases.

JPY View: Bearish | Skew: Bearish

We maintain our bearish stance on JPY. As USD/JPY once again approaches the 160 level, verbal intervention by policymakers is likely to heighten market concerns about the risk of actual FX intervention. However, the underlying fundamentals remain unchanged, and upward pressure on USD/JPY continues to persist.

GBP View: Neutral | Skew: Bearish

GBP should remain an underperformer. While two additional rate hikes helps GBP's carry, we see ample scope for risk premium to increase ahead of the October budget, and markets continue to overprice the level of the terminal Bank rate.

CHF View: Neutral | Skew: Neutral

Fair value still favors lower EUR/CHF, but adverse yield differentials and resilient risk appetite support CHF-funded carry. Without a sustained energy-price decline, carry should keep EUR/CHF on an uptrend.

CAD View: Neutral | Skew: Neutral

We are neutral CAD as rate differentials remain in RoW's favor, which more than offsets the recent ToT benefit the currency has seen as an oil exporter.

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AUD View: Bullish | Skew: Bullish

We remain bullish AUD, especially versus low yielders, and favor short EUR/AUD into an expected unanimous RBA hike. Firm inflation should lift front-end rates and AUD; softer RBA language would be a dovish risk.

NZD View: Neutral | Skew: Neutral

We think NZD/USD will remain stable into year end as carry conditions persist, but wide rate differentials will keep AUD/NZD above 1.22 into year-end.

SEK View: Neutral | Skew: Neutral

Despite a more hawkish Riksbank, SEK continues to trade poorly both against the USD and regional crosses. This continues to speak to the unfavourable externals which continue to weigh on performance.

NOK View: Neutral | Skew: Bullish

September's Norgesbank should reaffirm NOK's position as a high yielder for now, and NOK's relationship with energy continues to hold, making NOK/SEK good hedge scenarios that see energy upside.

Exhibit 1: Morgan Stanley FX Strategy Trade Ideas

Spot trades	Spot	Target		Stop	
Maintain					
Short EUR/AUD	1.6178	1.5300	5.4%	1.6900	-4.5%
Long USD/JPY	158.7300	163.00	2.7%	150.00	-5.5%
Exit					
Short EUR/SEK					

Source: Morgan Stanley Research

G10 | Summary of Our G10 Currency Views

USD

Our view: Neutral

Risk skew: Bullish

Watch: Consumer Confidence, JOLTS, PCE, NFP, ISM

We now see risks skewed to the upside for the DXY and **no longer expect a weaker USD**. Rate differentials may continue to support the USD while the carry/vol for USD longs remains attractive with rates at current levels, particularly versus the JPY. We expect the Carry Regime of our USD framework to continue, which sees USD strength versus EUR, JPY, and CHF, but weakness versus risk currencies like AUD, NOK, and EMFX. We remain tactically neutral on the USD given the risk of a policy-driven increase in USD-negative risk premium, rendering EUR & JPY safer carry trade funders. That said, we would be more inclined to turn outright bullish should greater evidence of policy divergence emerge, should risk appetite turn lower (transitioning us to the USD Bull Regime from the Carry Regime), or should investor sentiment on the USD's long-run status relative to peers evolve.

EUR

Our view: Neutral

Risk skew: Bearish

Watch: CPI, PMI Revisions, Unemployment

We see risks for EUR continuing to grow and view it as an attractive funding currency, particularly versus high-quality, risk-sensitive currencies like the AUD. While the outlook for the USD has improved, we continue to expect political risk premium in the EUR to rise as investors re-focus on election risks and the future of the European project. We see EUR/USD falling to 1.10 by mid-year and expect EUR to underperform on crosses, though greater weakness could emerge should clearer US-EU policy divergence emerge, risk appetite worsens, or investor sentiment on the USD's long run status improves.

JPY

Our view: Bearish

Risk skew: Bearish

Watch: Retail sales, Industrial production, BoJ Tankan, weekly MoF data, Tokyo CPI

We maintain a bearish stance on JPY. While reports last week pointed to the possibility of a rate check, Finance Minister Katayama commented this week that "President Trump expressed concern about JPY weakness" during the US-Japan leaders' summit. With USD/JPY moving back toward the 160 level, such remarks from policymakers are likely to reinforce market expectations of potential FX intervention. However, the key point is that the underlying fundamentals have not changed at all. Even as market pricing for the BoJ's terminal rate rose toward the upper end of the Bank's estimated neutral rate range, the impact on USD/JPY remained limited. This suggests that US rates and oil prices continue to be the primary drivers of the pair. In that sense, while next week's BoJ Tankan and CPI release will be important, but the main catalyst for USD/JPY is likely to be the US employment report. Unless payroll data deteriorates significantly and comes in well below our forecast, upward pressure on USD/JPY is likely to remain intact.

GBP

Our view: Neutral

Risk skew: Bearish

Watch: GDP Revision, House Prices

We continue to see GBP as an underperformer. While GBP's carry has limited its weakness on crosses, we think there is asymmetric risk that investors add more GBP-negative risk premium into the currency ahead of the October budget. While **our economists now expect** GBP's carry to increase by two additional rate hikes, these hikes are largely priced in while additional hikes have ample capacity to be priced out should energy prices fall, which should weigh on GBP.

CHF

Our view: Neutral

Risk skew: Neutral

Watch: CPI

We remove our bullish skew on CHF and turn neutral. EUR/CHF fair value remains lower than spot, but CHF has an unfavorable move in yield differentials, and resilient risk demand (which encourages CHF-funded carry trades). This week, the SNB revised upwards its forecast for inflation, but not sufficiently to sustainably shift yield differentials to a degree that would meaningfully change the upward trend in EUR/CHF if energy prices remain elevated or keep climbing. A sustained decline in energy prices and accompanying decline in front-end EGB yields would encourage the convergence of EUR/CHF lower toward where we estimate fair value, below 0.90. Absent that outcome, we expect a **continuation of the carry regime** to put upward pressure on USD/CHF.

CAD**Our view: Neutral****Risk skew: Neutral***Watch: GDP, PMIs*

We are neutral CAD. While Prime Minister Carney's administration continues to incentivize investment opportunity, we think rate differentials will remain the clearest near-term driver. Inflation data have not supported the need for the BoC to be as reactive as the Fed. We see risk for the 133bp priced through 2027 to be reduced and therefore weigh further on CA-RoW rate differentials. CAD remains somewhat supported against other G10 pairs by its ToT oil benefits, but the lack of carry broadly offsets the benefits, as seen in EUR/CAD being broadly unchanged YTD. Risks are symmetric into next week's GDP: if growth comes in stronger than expected, the market may price in a higher likelihood of an October hike, and vice versa. Investment opportunities and plans to expand oil pipelines remain long-term benefits to the currency.

AUD**Our view: Bullish****Risk skew: Bullish***Watch: RBA Rates Decision, CPI*

We continue to see AUD outperforming and remain bullish versus low yielders. We recommend short EUR/AUD positions into the RBA meeting next week, at which we see the Bank hiking rates unanimously. Our economists [see](#) the RBA focusing narrowly on inflation, accepting more domestic demand weakness to come. Given our [expectation](#) that price pressures remain firm (we see inflation accelerating to 4.0% and core inflation remaining firm), we see further room for front-end Australian rates to rise, boosting AUD. We will be attentive to the RBA's tone next week; AUD-bullish catalysts include if the RBA continues to characterize its stance as only "somewhat" restrictive and/or if it reiterates that it will "continue to do what it considers necessary to bring inflation sustainably back to target, including increasing the cash rate target further." The absence of this language would be a dovish surprise and weigh on AUD.

NZD**Our view: Neutral****Risk skew: Neutral***Watch: Filled Jobs*

We expect NZD/USD stability in the coming quarters as markets likely remain in a carry regime-type environment in which elevated energy prices and firm global growth expectations coexist. NZD/USD likely climbs towards 0.59, but AUD/NZD remains stubbornly high as rates differentials remain elevated. GDP growth has accelerated in New Zealand but remains below a pace that would likely necessitate acceleration of RBNZ tightening as house prices show little sign of a resurgence. AUD/NZD is likely to remain above 1.22 into year end.

SEK**Our view: Neutral****Risk skew: Neutral***Watch: September Economic Tendency Survey, Manufacturing PMI and August Retail Sales*

This week's Riksbank decision struck a more hawkish tone in comparison with their recent communique. The revisions to their forecasts arguably shift the balance of risks towards a timelier hiking cycle, conveying a greater sense of urgency to begin raising their policy rate. Despite the hawkish outcome and favourable repricing in front end rates, SEK continued to trade poorly this week – which is indicative of the external headwinds that SEK continues to face from dollar-driven price action, tighter financial conditions, and elevated energy prices.

NOK**Our view: Neutral****Risk skew: Bullish***Watch: Norges Bank Net FX Transactions for October, September unemployment rate, August Retail Sales*

The Norges Bank hiked rates in line with our expectations with a messaging consistent with shifting the onus away from activity and more towards inflation - which remains unacceptably high in their forecasts. Despite these hawkish developments, in a similar fashion to SEK, NOK ultimately continues to be buffeted by movements in energy prices and dollar strength.

Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Currency and Foreign Exchange				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Short EUR/AUD	1.6634	8/14/2026	Markets may shift the implied ECB policy path lower and stretch for carry with long AUD positions.	Inflation continues accelerating in the euro area, necessitating a higher ECB policy rate than our economists expect.
Long USD/JPY	153.40	9/11/2026	We think expectations for GPIF repatriation looks too speculative, while rising oil prices and markets' pricing of a high US terminal rate continue to support the pair.	A key risk to this trade is that JPY carry positions continue to be unwound, driven by the further speculation about repatriation from GPIF and Japanese investors more broadly.

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

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